

HOUSE BILL 1167

By Hawk

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 8; Title 56; Title 63 and Title 68, relative to
certificates of public advantage.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 68, Chapter 11, Part 13, is amended by
adding the following as a new section:

(a) As used in this section, "hospital system" means two (2) or more hospitals or
entities that are parties to a cooperative agreement and have been issued a certificate of
public advantage pursuant to § 68-11-1303.

(b)

(1) A hospital system shall have as the governing body of the hospital
system a board of directors that complies with this section.

(2) A hospital system which has, on the effective date of this act, an
existing board of directors that does not comply with this section shall, within
thirty (30) days after the effective date of this act, vacate the existing board of
directors and reconstitute the board of directors in a manner that complies with
this section.

(c) The board of directors of a hospital system must consist of nine (9) voting
members who are nominated by the governor and, except as otherwise provided in
subsection (d), must be confirmed by joint resolution of the general assembly.

(d)

(1) If the general assembly is not in session when initial appointments
are made, all initial appointees serve the terms prescribed in subsection (h),

unless the appointments are not confirmed during the next regular session of the general assembly following the appointments.

(2) If the general assembly is not in session at the time a member is appointed to fill a vacancy resulting from the expiration of a term, the member whose term has expired serves until a new appointee is confirmed as provided in subdivision (d)(1).

(3) If the general assembly is not in session at the time a member is appointed to fill a vacancy not resulting from the expiration of a term, the new appointee serves for the term appointed unless the appointment is not confirmed during the next regular session of the general assembly following the appointment.

(e)

(1) The following individuals are prohibited from serving as a member of the board of directors of a hospital system for so long as they hold the office or position:

(A) An employee of a hospital that is a party to the hospital system's cooperative agreement;

(B) An employee of an entity that contracts to do business with the hospital system or with any hospital that is a party to the hospital system's cooperative agreement;

(C) A member of a governing body of any hospital that is a party to the hospital system's cooperative agreement; and

(D) A person who has a financial interest in any contract or transaction affecting the interest of the hospital system.

(2) A violation of subdivision (e)(1) subjects the violator to removal by the governor, board of directors, or the committee of state legislators appointed pursuant to subsection (p).

(f) The reconstituted board of directors shall assume responsibility beginning May 1, 2025. The reconstitution of the board of directors has no effect on any action taken by the board of directors prior to May 1, 2025, unless such action is inconsistent with this part.

(g) If a board of directors is not appointed by May 1, 2025, pursuant to subsection (c) and subject to subsection (d), then the hospital system's certificate of public advantage expires on May 1, 2025.

(h) In order to establish staggered terms of service for members on the board of directors, the initial terms of the members of the board of directors appointed by the governor pursuant to subsection (c) are as follows:

(1) Three (3) members shall each serve an initial one-year term, beginning on May 1, 2025, and terminating on April 30, 2026;

(2) Three (3) members shall each serve an initial two-year term, beginning on May 1, 2025, and terminating on April 30, 2027; and

(3) Three (3) members shall each serve an initial three-year term, beginning on May 1, 2025, and terminating on April 30, 2028.

(i) Following the expiration of the initial terms prescribed in subsection (h), the term for all members appointed to serve on the board of directors pursuant to subsection (c) is three (3) years, beginning on May 1 of the year of appointment and ending on April 30 three (3) years later.

(j) Members appointed pursuant to subsection (c) are eligible to serve multiple terms and succeed themselves; provided, that no person may serve more than two (2)

consecutive terms, whether appointed as an initial member, as a successor member, or to fill a vacancy. A member who serves two (2) consecutive terms may be reappointed after two (2) years have elapsed since the individual's last date of service on the board.

(k) If a vacancy on a board of directors occurs by death or resignation, a successor is appointed pursuant to subsection (c) for the remainder of the term, subject to subsection (d). If a vacancy occurs by reason of expiration of a term, then the member whose term has expired shall serve until a successor is appointed and confirmed.

(l) Five (5) members of the board of directors constitute a quorum for the purpose of transacting business.

(m) The failure of a member to attend at least fifty percent (50%) of the regular meetings in a calendar year is cause for the member's removal and authorizes the presiding officer of the board to call on the governor to appoint a successor.

(n) The governor is authorized to call the initial meeting of the reconstituted board of directors to occur on or after May 1, 2025.

(o) The board shall hold at least one (1) stated meeting annually on a day or days determined by the board from year to year and at called meetings that may be necessary, to be called by the board or to be called by a legislative committee pursuant to subsection (p), upon at least five (5) days' notice to the board members.

(p) The governor shall appoint a committee of members of the senate and house of representatives that is authorized, by majority vote, to call a meeting of the board of directors pursuant to subsection (o). The committee must only be composed of members of the senate and house of representatives that represent a county or portion of a county where the hospital system is located.

(q) All meetings of the board must be made available for viewing by the public over the internet by streaming video accessible from the board's website. Archived videos of the board's meetings shall also be available to the public through the board's website.

SECTION 2. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are declared to be severable.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.